AQA

A-Level

Economics

7136/3 Paper 3 Economic Principles And Issues
Predicted Paper Final Mark scheme

7136
Predicted Paper

Version/Stage: v1.0   [Set B — Hard]

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Assessment Writer.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

This is a predicted paper intended for revision purposes only. It is not an official AQA publication. The mark scheme follows the style and structure of AQA published materials to support realistic practice.

Annotations

Annotation	Description
?	Unclear
AN	Analysis
APP	Application
BOD	Benefit of the doubt
EVAL	Evaluation
Highlight	Highlight
IR	Irrelevant
KU	Knowledge and understanding
NAQ	Not answered question
REP	Repetition
SEEN	Indicates that the point has been noted, but no credit has been given.
Tick	Correct point
Cross	Incorrect point

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 — Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best-fit approach for defining the level and then use the variability of the response to help decide the mark within the level.

Step 2 — Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Section A — Multiple Choice Answers

Each question is worth 1 mark. The correct answers and brief justifications are shown in the grid below.

Question	Answer	Brief explanation
01	**B**	Diminishing marginal returns is a short-run concept where at least one factor is fixed and variable factors are added.
02	**C**	Revenue maximisation occurs where MR = 0 (TR is at its peak on a downward-sloping demand curve).
03	**C**	Higher labour productivity raises the productive capacity of the economy → LRAS shifts right.
04	**C**	In a contestable market, the THREAT of entry (not the number of incumbents) disciplines incumbent behaviour — the key Baumol insight.
05	**C**	Monopsonists face upward-sloping labour supply → MCL > ACL. Profit-max at MCL = MRPL means wage (on ACL) is below MRPL.
06	**A**	Appreciation makes imports cheaper in domestic currency, reducing the cost of imported inputs and dampening cost-push inflation. Reject B (appreciation RAISES foreign-currency price of exports), C (appreciation worsens CA), D (appreciation makes country more expensive for foreign tourists).
07	**B**	S – I = CA. If S falls with I unchanged, (S – I) falls, so CA worsens.
08	**C**	Marshall-Lerner: if $\lvert\varepsilon x\rvert + \lvert\varepsilon m\rvert > 1$, depreciation improves trade balance after adjustment. The short-run J-curve reflects delayed adjustment.
09	**A**	Greater labour market flexibility reduces structural and frictional unemployment, lowering the natural rate.
10	**B**	Regulatory capture = regulators come to serve the industry they regulate rather than the public interest.
11	**C**	Marginal products: 12, 16, 12, 8, 4. MP peaks at the 3rd worker then DECLINES from the 4th onward — diminishing returns begin with the 4th worker.
12	**B**	Profit = TR – TC. At Q = 40, TR = £400, TC = £280, profit = £120. MC from Q = 30 to 40 is (280 – 180)/10 = £10 = P. Profit max at Q = 40.
13	**B**	Q3 2023 (–0.1%) and Q4 2023 (–0.3%) are two consecutive negative quarters — the standard definition of a technical recession.
14	**A**	Higher inflation (4.1%) than the anchor economy (Q: 1.8%) at a fixed rate means P's real exchange rate appreciates → loss of competitiveness → trade balance pressure → strain on the peg.
15	**B**	Year 1: positive output gap (boom) but running a deficit → pro-cyclical. Year 3: negative output gap (bust) and widened deficit → counter-cyclical.
16	**C**	Allocative efficiency: MSB = MSC. At 60% abatement, MSB = MSC = £60.
17	**B**	P = £10 at the profit-max point. P > MC (£10 > £6) → allocative inefficiency and deadweight loss.
18	**D**	Country D: Gini fell from 0.32 to 0.28 = –0.04 reduction. Country B: 0.38 to 0.36 = –0.02. D has the largest reduction.
19	**C**	North: 41 → 44 (+£3k). South: 52 → 68 (+£16k). South grew faster → gap widened from 11 to 24 (£000) — absolute gap widened.
20	**B**	Supernormal profit = (P* – AC*) × Q* = the shaded rectangle in the diagram.
21	**B**	Inelastic demand → consumers cannot easily substitute → most of tax passes through as higher prices.
22	**B**	Near LRAS, SRAS is steep: AD shifts produce large price-level rises and small output rises.
23	**B**	The MR discontinuity means MC can move within the gap without changing output → prices remain rigid.

Question	Answer	Brief explanation
24	**B**	Long-run Phillips curve is vertical at the natural rate — no long-run unemployment-inflation trade-off.
25	**B**	In long-run monopolistic competition: P = AC (normal profit only); P > MC (allocative inefficiency); AC is NOT at its minimum → productive inefficiency too.
26	**B**	Marshall-Lerner: long-run improvement depends on sum of export + import demand elasticities > 1.
27	**B**	Ad valorem is a percentage → absolute tax rises with price → high-priced goods bear larger absolute tax.
28	**B**	Further Lorenz curve from diagonal → larger Gini → higher inequality. Country Y is further from the diagonal than X.
29	**C**	At PED = 1 (unit elastic), small price changes leave total revenue essentially unchanged.
30	**C**	A Pigouvian tax equal to MEC shifts MPC up to coincide with MSC → market output moves from Qp to Qs, eliminating the welfare loss triangle.

Section B

Case study: UK trade, Brexit and the services economy

Generic marking grid for the 10-mark data-response question

Level	Response	Max 10 marks
3	Good response that: • uses the data accurately and effectively to support the argument • identifies relevant economic concepts and applies them to the question • reaches a supported judgement using evidence from the extracts.	8–10 marks
2	Reasonable response that: • uses some data to support the argument but may lack precision • shows understanding of relevant economic concepts • reaches a judgement, though support may be limited.	4–7 marks
1	Weak response that: • makes limited reference to the data • shows limited understanding of relevant economic concepts • offers a judgement with little support.	1–3 marks

3 1 Using the data in the Extracts, examine the extent to which the UK has experienced a structural shift from goods to services in its trade performance since 2015. **[10 marks]**

Relevant issues include:

• Clear evidence of a structural shift in Extract A:

• • services exports nearly doubled from £229bn (2015) to £452bn (2024) — +97%

• • goods exports rose only 35% (£286bn → £386bn) — growing much more slowly

• • services trade surplus doubled: +£91bn (2015) to +£183bn (2024)

• • goods deficit widened: –£122bn (2015) to –£198bn (2024)

• Brexit context (Extract B): UK goods exports to EU ~15% below counterfactual (CER 2024); customs frictions particularly affect goods, not services

• Services resilience (Extract C): digital delivery bypasses Brexit frictions; non-EU markets (US, India, China, Gulf) growing fastest

• EU trade share fell from 51% (2015) to 41% (2024) — market diversification alongside structural shift

• Sterling ERI fell 16% (2015–2024) — should have boosted goods exports, but goods trade balance still worsened → structural weakness in goods competitiveness confirmed

• Evaluation: the shift IS structural — not simply a cyclical effect. But 'extent' depends on interpretation:

• • on trade balances — the shift is dramatic

• • on share of GDP — services are now >70% of UK economy, consistent with trade pattern

• • on resilience — Extract C flags that EU regulatory responses could erode services advantage over time

• Concluding judgement: clear evidence of sustained structural shift, reinforced but not caused by Brexit — rooted in UK's long-run comparative advantage in services

Levels of response marking grid — 15-mark questions

The following generic grid should be used when marking all 15-mark questions in Section B (questions 0 9, 1 1 and 1 3).

Level of response	Response	Max 15 marks
3	A good response that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

3 2 Using Extracts A, B and C and your knowledge of economics, explain why the UK's comparative advantage may lie in services rather than in goods. **[15 marks]**

Relevant issues include:

• Definition of comparative advantage — lower opportunity cost in production

• Revealed comparative advantage: Extract A shows persistent services surplus (+£183bn) and persistent goods deficit (–£198bn) — empirical signature of services advantage

• UK factor endowments that favour services:

• • strong human capital base — high rate of tertiary education, world-class universities

• • English language as a global business language

• • deep capital markets and financial infrastructure (City of London)

• • mature legal/regulatory system (English law widely chosen for international contracts)

• • established professional services ecosystem (accountancy, consultancy, law)

• • creative industries — film, music, advertising, design

• Agglomeration effects: services cluster in London, raising productivity of all services firms in the cluster (Extract C)

• Structural decline of UK manufacturing: loss of scale economies; energy costs relatively high; skills shortages in engineering; cost competition from lower-wage economies

• Brexit asymmetry (Extract B): goods trade faces new customs frictions while services trade is less affected — this may be coincidence, not comparative advantage, but it reinforces the shift

• Ricardian theory: comparative advantage need not be absolute — UK can still have it in services even where other countries are also strong

• Demand-side factors: rising global income raises demand for tradable services more than manufactured goods (YED > 1 for many services)

• Trade-in-services is growing faster than goods globally — UK is well-positioned

- Caveats: comparative advantage can be lost (services regulation, competition from US tech firms); services trade is less deeply negotiated internationally than goods

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

Generic marking grid — 25-mark recommendation question

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which is, at best, very weak • includes attempted analysis which is weak and unsupported.	1–5 marks

3 3 Considering the information in Extract D and the original evidence in Extracts A, B and C, do you recommend that the UK government should adopt a services-led industrial strategy as the main approach to improving the UK's long-run trade performance? Justify your recommendation. **[25 marks]**

Areas for discussion include:

- Case FOR a services-led strategy:
- • Revealed comparative advantage: services surplus £183bn vs goods deficit £198bn (Extract A)
- • Services exports growing at 6.8% CAGR vs 2.7% for goods — market dynamics favour services
- • Lower exposure to Brexit frictions (Extract B, C)
- • Growth in non-EU services markets — geographic diversification benefit
- • Specific policy levers: trade agreements targeting services (US, India, CPTPP); regulatory harmonisation; skills investment
- • Alignment with UK's service-dominated economy (70% of employment)
- Case AGAINST relying on services-led strategy:
- • Regional inequality: services concentrated in London/SE — exacerbates north-south divide
- • Volatility: financial/business services hit hard in 2008; sector-concentration risk
- • Strategic concerns: neglect of semiconductors, clean energy, pharma — industries with positive externalities, security significance
- • Services trade is less deeply protected in international agreements — policy vulnerability
- • EU regulatory moves could erode advantage (Extract C — financial services subsidiarisation requirement)
- • Services employment often bimodal: high-paid knowledge work vs low-paid hospitality/retail — reinforces inequality
- Alternative / complementary approaches:
- • Balanced strategy: support services AND rebuild goods manufacturing in strategic sectors
- • Regional rebalancing: locate high-value services functions outside London
- • Skills investment broadly (services, advanced manufacturing, green technology)
- • Targeted industrial policy for critical sectors (semiconductors, clean energy, pharma, defence)
- • Horizontal policies: R&D; tax credits, infrastructure, planning reform — benefit both services and goods
- Evaluation:
- • Effectiveness depends on policy design, not just direction of strategy
- • Comparative advantage is dynamic — can be built in new areas (e.g. offshore wind, fintech, life sciences)
- • The binding constraint is often execution, not strategy
- • International precedents: Singapore balances services with strategic manufacturing; Germany maintains strong goods trade despite services being 70% of GDP

Indicative judgement:

- A reasoned recommendation — YES, NO or HYBRID — can reach Level 5 if well-supported
- Strongest responses will recognise that a pure services-led strategy is unlikely to be optimal — a balanced approach with strong services support + targeted strategic-sector interventions is more defensible
- Candidates who identify the regional-inequality risks of a pure services strategy should be rewarded for depth of analysis
- Simple restatement without clear judgement should be placed in Level 3

Use the levels mark scheme for 25-mark questions to award candidates marks. Effective use of extracts and relevant diagrams should be rewarded.

END OF MARK SCHEME